

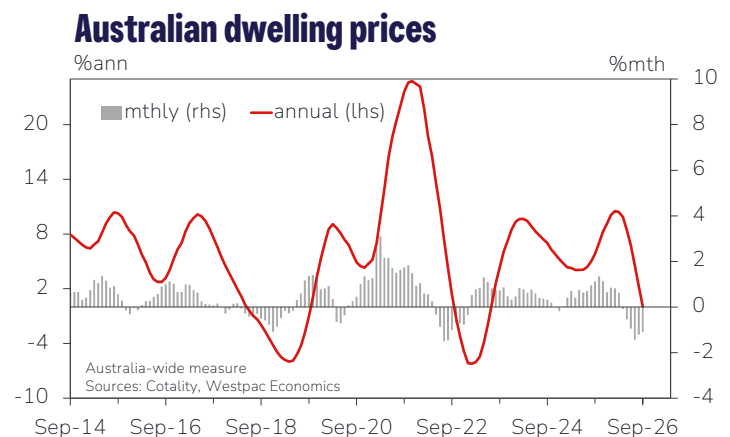
1 October 2026

AUSTRALIAN DWELLING PRICES BULLETIN

Slide continues

Key points

- The Cotality home value index – covering all of Australia – fell 1.1% in September following a downwardly revised declines of 1.2% in August and 1.4% in July. Annual growth stalled flat with prices nationally now 5.2% below their peak in March.
- Declines continue to be widespread. Across the major cities, prices fell 1.4% in Sydney, 1.5% in Brisbane, 1.3% in Adelaide, and 1.2% in Perth with Melbourne recording a slightly milder 0.7% decline. Sydney and Melbourne continue to see more pronounced declines with prices now down 7%yr and 6.2%yr respectively.
- Preliminary estimates show the number of sales, in rolling 3mth terms, down 3.9%qtr and 17.4%yr. The pace of turnover falls has moderated from the rapid 8.6%qtr recorded in July.



**Sep Cotality
home value
index: -1.1%**mth**;
flat %yr**

Losing altitude



Matthew Hassan
Head of Australian Macro-Forecasting

The Cotality home value index, covering all of Australia, fell 1.1% in September with downward revisions to the previous two months again shaving a further 0.4% off prices. The correction has now seen prices decline 5.2% from their March peak. Annual growth is flat.

The price correction remains broad, Cotality reporting 97% of capital city suburbs experienced falls over the three months to September, Darwin the only city to record gains. Sydney and Melbourne continue to see more pronounced declines, albeit moderating a touch, particularly in Melbourne. Against this, declines in Brisbane, Adelaide and Perth have accelerated over the last few months. Across segments, unit prices and lower price tiers continue to track slightly milder falls than houses and top tiers.

Seasonal variations accentuated price weakness through winter but are now neutral. The peak-to-trough price decline nationally is slightly milder at 4.6% in seasonally adjusted terms. Unless specified, figures in titles, tables and the commentary below are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. However, figures shown in charts are in seasonally adjusted terms.

Preliminary estimates of turnover show rolling 3mth volumes down 3.9%qtr in September and 17.4%yr with previous estimates revised 1-2ppts lower. The monthly pattern suggests small gains in July and August have given way to another sizeable fall in September.

Looking at the price performance across different jurisdictions:

- **Sydney** prices dropped 1.4% fall in September, monthly declines averaging 1.6% over the previous four months, tracking a 17% annualised pace of decline since May. All segments and tiers recorded falls in Q3 but with top and middle tier houses notably weaker.
- **Melbourne** prices fell 0.7%qtr, a slower pace than other capitals. This likely reflects the weaker starting point coming into the correction, prices already back to the levels seen in mid-2021. As elsewhere, 'top tier' houses prices are leading the decline. 'Low tier' unit prices mostly held their ground in Q3, prices in this sub-segment already plunging 10yr lows.
- **Brisbane** was the weakest capital city price-wise, recording a 1.5% drop in September with previous monthly declines also revised down heavily (August from 1% to 1.6% and July from 1.2% to 1.7%). The combined effect has taken the rolling 3mth change to -4.7%qtr from -2.7%qtr last month and -0.6%qtr in July. At 5.9%yr, annual growth is still positive but losing altitude quickly, having run at 18%yr as recently as May. Sellers have been slow to respond to

Cotality home value index: September 2026

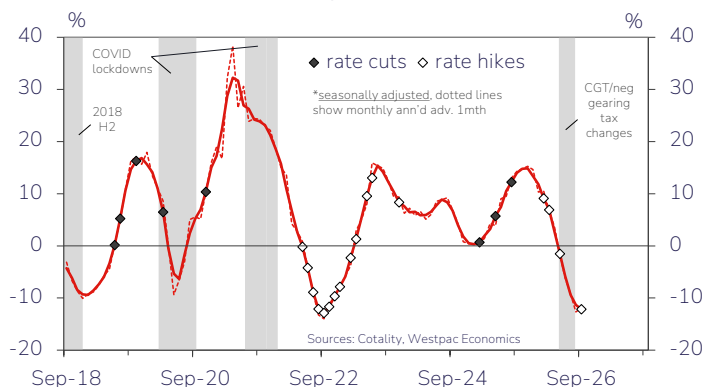
	%mth				%ann			
	Jun	Jul	Aug	Sep	Jun	Jul	Aug	Sep
Australia*	-0.9	-1.4	-1.2	-1.1	6.8	4.5	2.3	0.0
seas. adjusted	-0.8	-1.1	-1.1	-1.0	6.8	4.6	2.3	0.1
– houses	-1.0	-1.5	-1.3	-1.2	7.3	4.9	2.5	0.0
– units	-0.8	-1.2	-0.7	-0.8	4.8	3.0	1.5	0.0
Major capital cities								
Sydney	-1.5	-1.9	-1.6	-1.4	0.2	-2.3	-4.8	-7.0
Melbourne	-1.4	-1.6	-1.1	-0.7	-1.2	-3.2	-4.8	-6.2
Brisbane	-0.6	-1.7	-1.6	-1.5	16.1	13.0	9.4	5.9
Adelaide	-0.2	-0.3	-1.1	-1.3	11.7	10.7	8.7	6.5
Perth	-1.2	-1.8	-1.7	-1.2	21.4	17.8	14.0	10.1
Turnover ^Δ	-5.3	-8.6	-7.8	-3.9	-12.8	-17.6	-17.3	-17.4

* Australia-wide measure, covering both capital cities and regional areas.

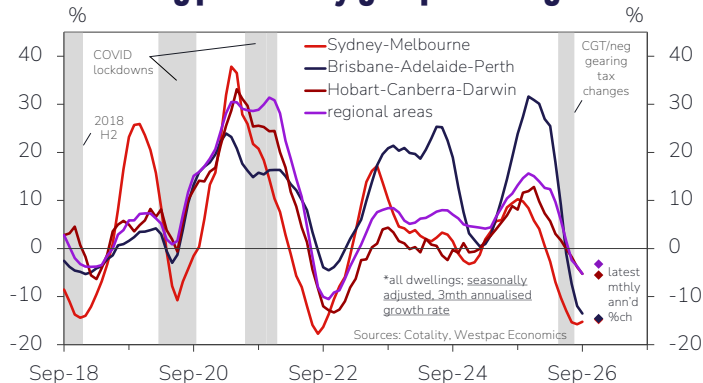
Sources: Cotality, Westpac Economics.

^Δ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



Dwelling prices: city groups and regional areas



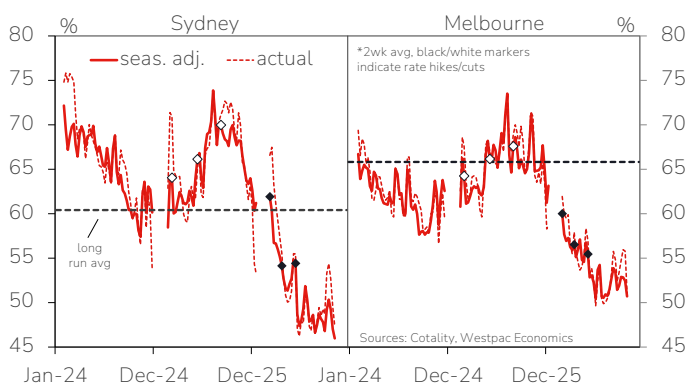
the sudden stop with total listings up over 50% vs a year ago, albeit still not high compared to long run averages (reflecting the extremely tight starting point for the Brisbane market).

- **Adelaide** dwelling prices fell 1.3%*mth*, the August decline also marked down from 0.8% to 1.1%, annual price growth dropping to 6.5%*yr*. The price correction began later in Adelaide but is now running at a similar pace to prices nationally.
- **Perth** recorded a 1.2% decline but also saw big downward revisions to previous months (August from 0.8% to -1.7% and July from -1.3% to -1.8%). At 10.1%*yr*, annual growth is still solidly positive but was tracking at over 25%*yr* earlier in the year. As with Adelaide and Brisbane, the detail shows a more even spread of declines across price tiers. However, turnover is showing a milder pull-back in Adelaide.
- The smaller capitals were again more mixed, price growth still positive in Darwin (0.4%*mth*, 11.9%*yr*), relatively resilient in Hobart (-0.5%*mth*, 7%*yr*) but weaker in Canberra (-1.1%*mth*, -1.6%*yr*).
- **Regional markets** showed a 0.9% decline in Qld but slightly milder declines in NSW (-0.7%) and Victoria (0.3%). Annual prices growth is in the 3.4-6.3%*yr* range.

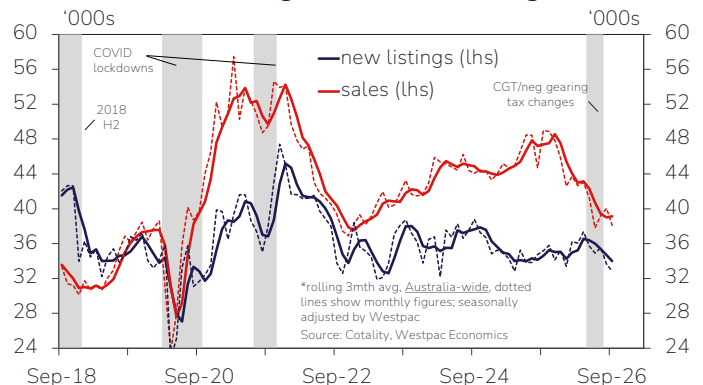
Our recently released **Housing Pulse** report ([here](#)) provides a deeper dive into the situation in Australia's housing markets. While the absence of selling pressure, still tight supply-demand balance and sentiment mix suggests the correction was still relatively 'orderly' through the September quarter, the latest monthly data shows momentum remains unambiguously negative.

That said, there are clearly more headwinds to come. The RBA latest interest rate rise and what now looks to be a more likely prospect of a follow-up increase at its meeting in early November will impact in coming months. Next week's consumer sentiment update will show how the change, and the latest round of weak updates, is shaping housing-related sentiment. Either way, momentum looks set to remain weak into year-end and, barring a significantly improved inflation and interest rate outlook, early 2027.

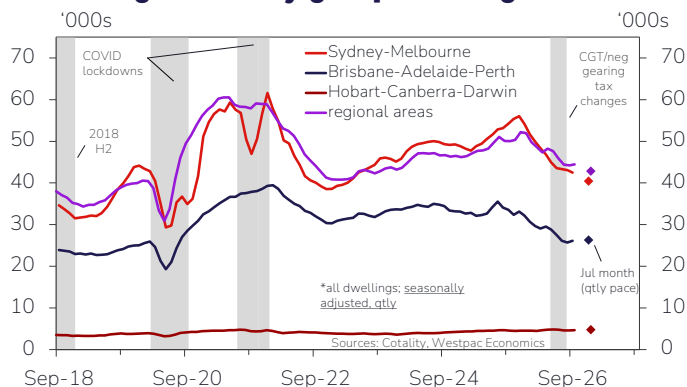
Auction clearance rates



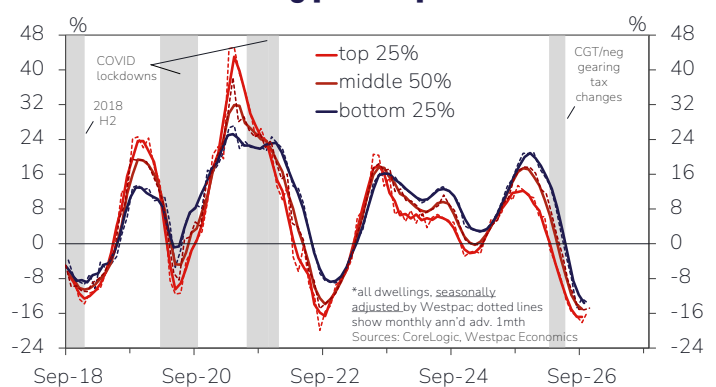
Australian dwellings: sales and listings



Dwelling sales: city groups and regional areas

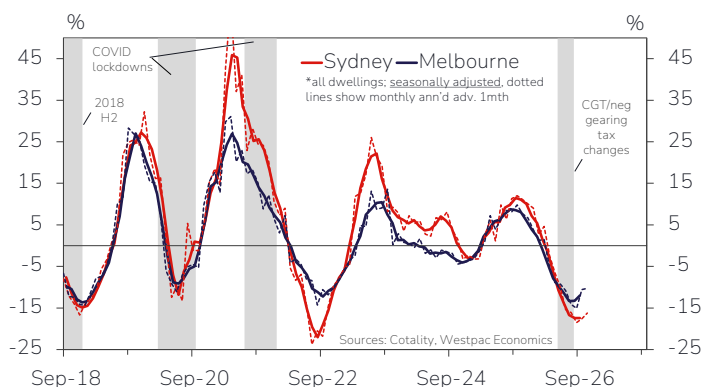


Australian dwelling prices: price tiers

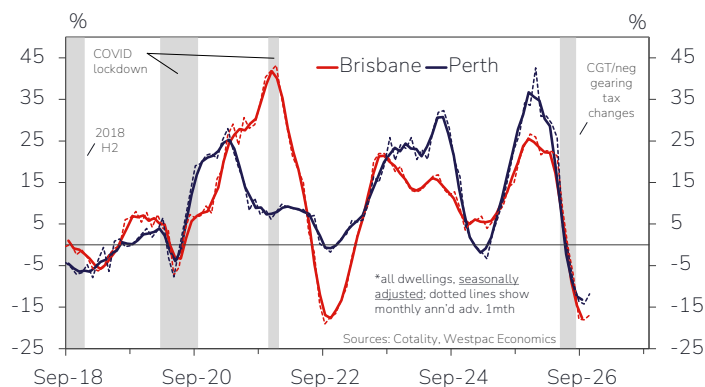


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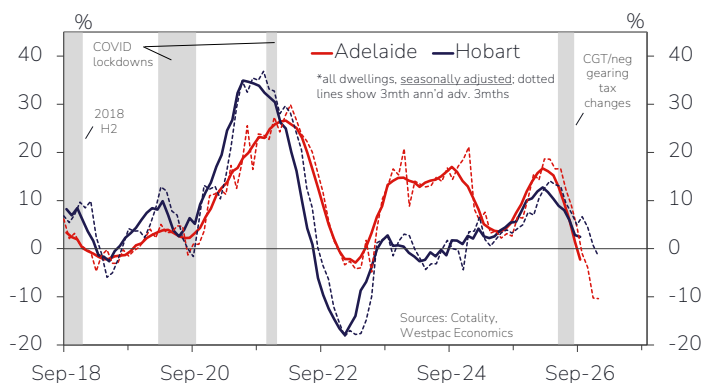
Sydney, Melbourne dwelling prices: 3mth ann'd



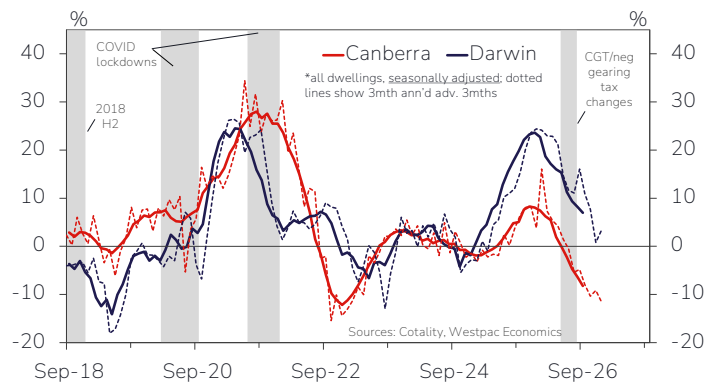
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



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